

HOUSE BILL 1997

By Stevens

AN ACT to amend Tennessee Code Annotated, Title 67,  
Chapter 6, Part 3, relative to exemption from sales  
and use tax on aircraft repair services and parts.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-6-302(c), is amended by deleting "large aircraft" wherever it appears in subdivision (c)(1) and substituting instead "aircraft".

SECTION 2. Tennessee Code Annotated, Section 67-6-302(c)(3), is amended by deleting the subdivision and substituting instead:

(3) As used in this subsection (c):

(A) "Affiliate" means a company owned and controlled by or under the common ownership and control of, and conducting business at, an authorized aircraft service facility;

(B) "Aircraft" means a helicopter as defined in § 67-6-313(h)(2) or an airplane;

(C) "Aircraft accessories" means any accessories, appurtenances, equipment, software, systems, or components for installation or use in connection with any aircraft mainframes or aircraft engines;

(D) "Aircraft engine equipment" means any aircraft engine, including all associated parts, appurtenances, and accessories, for the propulsion of an aircraft mainframe;

(E) "Aircraft mainframes" means any aircraft body, wing, rotor system, tail assembly, aileron, rudder, landing gear, engine housing, and any other assembly or component integral to the aerodynamic structure of an aircraft;

(F) "Authorized aircraft service facility" means a repair station located within this state that is engaged in repair and refurbishment services of aircraft mainframes, aircraft engine equipment, and aircraft accessories under a valid air agency certificate issued by the federal aviation administration in accordance with 14 CFR Part 145 of the federal aviation regulations, with an organization designation authority, or other similar or successor certificate and authority as the federal aviation administration may provide for from time to time; and

(G) "Repair and refurbishment services" includes, but is not limited to, testing, inspections, interior completions, refurbishments, installations, painting, modifications, repairs, maintenance, or overhaul of aircraft mainframes, aircraft engine equipment, and aircraft accessories.

SECTION 3. Tennessee Code Annotated, Section 67-6-313(h)(1)(D)(ii), is amended by deleting "with respect to aircraft qualifying as 'transport category aircraft' under 14 CFR, parts 25, 29, 91 and 121".

SECTION 4. Tennessee Code Annotated, Section 67-6-313(k), is amended by deleting "large aircraft" wherever it appears in subdivisions (1) and (2) and substituting instead "aircraft".

SECTION 5. Tennessee Code Annotated, Section 67-6-313(k), is amended by deleting subdivisions (3)(A) and (3)(B) and substituting instead:

(A) "Aircraft and related equipment" means any aircraft consisting of an aircraft mainframe and aircraft engine equipment, including any aircraft accessories associated with the aircraft or aircraft engine, whether installed or uninstalled;

(B) "Aircraft", "aircraft accessories", "aircraft engine equipment", "aircraft mainframes", "authorized aircraft service facility", and "repair and refurbishment services" have the same meanings as defined in § 67-6-302; and

SECTION 6. This act takes effect July 1, 2026, the public welfare requiring it.